Navigating Your Home Purchase

It's What We Do

JLA Realty was founded in March 2011 by John Altic, President and CEO.
His passion and vision for real estate have inspired the creation of a powerful, respected team of agents.

John's drive to innovate and redefine what a traditional brokerage can be has fueled JLA Realty's remarkable growth.

As we continue to expand, our commitment to serving the community grows with us. This growth allows us to better meet the needs of our clients by offering a comprehensive range of real estate services.

Our clients consistently praise the expertise and professionalism of JLA Realty agents. Each agent is an industry expert dedicated to understanding clients' goals and exceeding their expectations—a philosophy that defines our success.

The broad range of services we provide continues to bring value to every real estate transaction.

At JLA Realty, we are ready and eager to assist you with all your real estate needs.

John Altic

President and CEO, JLA Realty



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The Home Buying Process

A step by step guide

1. Is Now the Right Time?

- How long are you planning on living in your next home?
- Consider the benefits/drawbacks to owning a home.

2. Determine the Purchasing Price

Every homebuyer considers three key criteria when searching for their ideal home: location, price, and style/condition.

Together with your list of needs and wants, these factors will guide our search and help us identify the properties and homes best suited for you to view first.

3. Get Pre-Approved for a Mortgage

- How much can you afford?
- What loan programs are available? (FHA, VA, Conventional)
- Is your credit in good shape?

Viewing homes without a pre-approval often leads to disappointment.

Smart buyers take the time to discuss their financial situation with a reputable lender and obtain a pre-approval before starting their home search.

A pre-approval not only helps you understand what you qualify for, but also allows you to determine what you're truly comfortable spending.

Having a pre-approval in hand strengthens your negotiating position—especially in a competitive market

The Home Buying Process

A step by step guide

4. View Homes

- What type of home do you prefer? (Detached, Attached, etc.)
- How many bedrooms and bathrooms do you need?
- Are school districts an important factor for you?

The process of viewing homes helps you gather valuable information to make the best decision possible.

Finding the right home is often a process of elimination, not selection. Viewing homes you don't like is not a waste of time—it helps you develop a frame of reference and better understand what you truly want in your new home.

5. Write the Contract

The best way to prepare for the contract phase of your home purchase is to review a blank copy of the purchase agreement in advance.

Taking the time to read and understand the contract before making an offer will help you feel more confident and comfortable during the negotiation process.

6. Deposit Earnest Money

An earnest money deposit shows the seller that you are serious about purchasing their property.

This deposit demonstrates your commitment to the transaction and is securely held in a trust account until it is applied toward the closing of your purchase.

The Home Buying Process

A step by step guide

7. Perform the Home Inspections

Once the contract is fully accepted and all terms are agreed upon, a home inspection may be conducted—provided the contract allows it.

The inspection gives you and your chosen inspector the opportunity to take a detailed, thorough look at the property.

This step provides you with a deeper understanding of the home's condition and ensures you're making an informed decision about your purchase.

8. The Escrow Process

- Reviewing disclosures
- Ordering the appraisal
- Securing financing

9. Closing

- **Final Walk-Through** – After your mortgage has been approved, a final walk-through is encouraged. During this visit, you'll re-inspect the property to ensure it's in acceptable condition and that any agreed-upon personal property is present.
- **Changing Over Utilities** – Make arrangements to have utilities transferred into your name as of the closing date to ensure a smooth transition.
- **Execute the Closing Documents** – Once the contract is accepted, inspections are complete, and the mortgage is approved, the closing will be scheduled. You will be notified of the time and date by the appropriate party.

At this stage, either a closing attorney or an escrow officer will facilitate the process, and the final documents will be executed to officially complete your home purchase.

Preparing for the Lender

Personal Information

- Full names of all purchasers as they are to appear on
- title.
- Social security numbers of all purchasers.
- Present residence address for all purchasers.
- Previous address for all purchasers going back two years if you have not resided in the present home for two years.
- Home, office, cell phone numbers.

Employment Information

- **Present Employer:** Name, address and a contact person to send employment verification form.
- Explanation for any gap during 2 year history.
- Relocation letter for any transferees – giving date, salary, new location and any relocation benefits.
- **Previous Employer:** Name, address, and a contact person, going back 2 years if not in present job 2 full years.
- **Present Salary:** Year to date pay stub and last 2 years' W-2's
- If any variable income, commission, part-time income, bonus, overtime, interest income, etc., is being used to qualify: 2 years' signed federal tax returns and W-2's and/or 1099's.
- **If self-employed: 2** years' signed federal individual and corporate returns (if applicable). Also, a profit and loss statement and balance sheet.
- Diploma or transcript if student during 2 year period.

Other Income

- **Rental Income:** Copy of lease which is current and at least one year in length.
- **Alimony and Child Support (only if used for qualification):** Copy of divorce decree and property settlement (ratified) setting out terms. Proof of payment will also be requested at application.
- **Income From Notes Held:** A copy of the ratified note.
- **Retirement, Social Security and Disability Income:** Copy of award letter and latest check showing amount of present payment. Copy of end of year statement, if applicable.

Do’s & Don’ts during the Loan Process

Important Loan “Do’s and Don’ts”

There are certain “Do’s and Dont's” which may affect the outcome of your loan request.
These remain in effect before, during and after loan approval up until the time of settlement when your loan is funded and recorded. Many times credit, income, and assets are verified the hour before you have signed your final loan documents.
Here is a list that you should comply with:

MAKE SURE THAT YOU DO NOT do any of the things that may alter your credit and may risk you obtaining your loan.
Also, these things may put you in default of your Sales Contract, may put your ESCROW deposit at risk, and may put you at risk of being sued.

DO NOT:

- Quit your job or change jobs. If this is likely, consult with your loan officer and call your agent should this occur.
- Allow anyone to make an inquiry on your credit report except your lender.
- Apply for credit anywhere else except with your lender. This causes more “hits” on your credit rating which can reduce your credit score.
- Change bank accounts or transfer money within your existing accounts.
- Co-sign for anyone, for any reason, for anything.
- Purchase or attempt to purchase anything else on credit such as another car, truck, boat, furniture or other real estate.
- Charge any abnormal amounts to your current credit cards or credit lines.
- Send in late payments, or incur late fees for anything.
- Wait longer than the time frame given per your contract to provide all necessary paperwork and information to your lender when requested.

DO

- keep all accounts current, including mortgages, car loans, credit cards, etc.
- contact both your lender and your sales associates anytime a question may arise.
- make all payments on or before due dates on all accounts, even if the account is being paid off with your new loan.
- make all payments on or before due dates on all accounts, even if the account is being paid off with your new loan. (duplicate line kept as given)

Welcome to the Loan Process







Loan Officer Responsibilities

- Loan officer meets with clients face to face, by mail or fax.
- Customize loan products to meet individual needs.
- Lock rate and program with applicable investor upon request.
- Maintain communication throughout the loan process to closing.

Processing Responsibilities

1. Order residential appraisal and credit report.
2. Mail required disclosures to client.
3. Mail verification to applicable entities (depositories, employer, etc.)

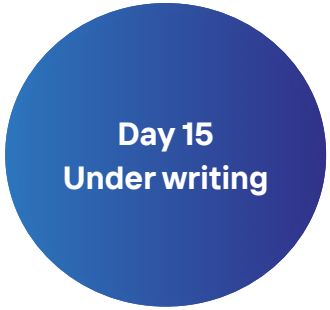
Processor Responsibilities

Your Processor is your contact during all processing and compiling of information for loan submission, i.e. income assets, and credit. Send all information for loan processing to your processor, i.e. contract, loan statements, pay stubs, etc.

They review the loan package to ensure information received meets investor guidelines prior to submitting to underwriting.

Prepares the file for closing after approval and obtains closing conditions.

Welcome to the Loan Process





Underwriting Responsibilities

Evaluation of credit and property in determining adherence to agency guidelines.

Underwriting Decision Status

- Approved
- Approved Conditionally – All conditions must be met prior to closing.
- Rejected
- Suspended

Closing Process Steps

1. The Lender prepares papers and forwards to Title Company.
2. Title Company previews instructions and prepares the Settlement Statement. Title Company has final closing figures available for borrowers.
3. Cashiers Check made out to the Title Company — is required in Texas, or funds can be wired from your financial institution or relocation company.

Documents needed for all Loan Applications

All Borrowers

- Copies of **W-2s and Tax Returns** for last two years.
- Copies of **paycheck stubs** for last 30 days (most current).
- Copies of **checking and saving account statements** for last two months (all pages).
- Copies of **quarterly or semi-annual statements** for checking, savings, IRA's, CD's, money market funds, stock, 401K, Profit Sharing, etc.
- **Copy of Sales Contract** when available.
- **Employment history** last two years (address any gaps in employment).
- **Residency history l**ast two years, with name, phone number, address, and account number of Landlord or Mortgage Company. Rental property copies of leases plus mortgage information.
- **Canceled earnest money** check when it clears or corresponding bank statement, if applicable.
- **Refinance** Copy of Note, Deed of Trust, Settlement Statement, Survey.
- **Any assets** used for down payment, closing cost, and cash reserves must be documented by a paper trail.
- If **paid off mortgage** in the last year, need copies of CD.
- If o**wn 25% or more of a business**, need company tax returns for last two years.
- Copy of **social security card and driver's license.**

Documents Which May Be Required

1. **Relocation Agreement** if move is financed by employer, i.e. buyout agreement plus documentation outlining company paid closing costs benefits.
2. **Previous bankruptcy, need copies of petition for bankruptcy and discharge**, including supporting schedule.
3. **Divorce Decree** if applicable.
4. Documentation supporting moneys received from s**ocial security/retirement trust income**, i.e. copies of direct deposit statements, awards letters, evidence that income will continue.

Documents Needed for FHA/VA Loans

1. **FHA** Copy of social security card and driver's license for each applicant and co-applicant.
2. **VA** Original Certificate of Eligibility and copy of DD214 Discharge Paper.
3. **VA** Name and address of nearest living relative.

FAQ'S

- **What is Pre-qualification?** A process by which a potential homebuyer qualifies for a home mortgage before making an offer on a house. A lending institution agrees to make a loan in the specified amount to the person it has pre-qualified.
- **My real estate agent recommended that I get a pre-approval letter. What is a pre-approval letter, and why should I get one?** The lender gives a commitment letter that states the lender agrees to provide a mortgage to a homebuyer. Commitment letters help you set realistic goals while you're house-hunting, provide the same negotiating ability as a cash buyer and enable you to move quickly once the perfect home is found.
- **When mortgage lenders refer to "PITI" what are they referring to?** PITI is principal, interest, taxes and insurance – the components of a monthly mortgage payment.
- **When my loan officer asks me if I want to waive escrows, what exactly does that mean?** When you waive escrows, you take the responsibility of paying your taxes and insurance rather than having them included in your monthly payment. Waiving escrows may add a small fee to your closing costs. You can only waive escrows if your loan to value is 80% or less on your first lien.
- **What does my mortgage lender mean by points or origination fee?** One point is equal to one percent of the loan amount. Points and origination fees are used to buy down the to buy down the interest rate and are tax deductible on purchase transactions
- **How does the annual percentage rate differ from the interest rate?** The annual percentage rate (APR) is the effective rate of interest for a loan if the calculation is based on the original loan amount less the closing costs. This is the rate that will appear on your preliminary Truth-In-Lending. Please note that the APR is higher than the interest rate on your Real Estate Lien Note.
- **How do I know what my interest rate will be?** Upon your request, your loan officer will search for the lowest rate and "lock" your rate. The "lock-in" guarantees the homebuyer an interest rate provided the loan closes with that buyer and specified property within a set period of time. The property lock-in also specifies the number of points to be paid at closing.

FAQ'S

- **Do I need to have a certain amount of money left after I buy my home?** Most loan programs require a cash reserve sufficient enough to make the first two mortgage payments (PITI).
- **What is the Debt-to-Income (DTI) Ratio?** A ratio used by lending institutions to determine whether a person is qualified for a mortgage. Debt-to-Income is the total amount of debt, including credit cards and other loans, divided by total gross monthly income.
- **What is the difference between an FHA and a VA Loan?** An FHA loan is a loan guaranteed by the Federal Housing Administration. FHA issues specific guidelines for mortgages. A VA loan is a loan guaranteed by the Veterans Administration. To obtain a VA loan, the borrower must have served in the Armed Forces.
- **What is Private Mortgage Insurance (PMI)?** PMI is insurance required to cover the lender should the borrower default on the loan. PMI is now tax deductible.
- **Do I always have to have PMI on my loan?** PMI can be eliminated by having a down payment of at least 20%.
- **Will I have two separate payments if I have a second lien?** The second lien is often from a different lender than the first lien. Therefore, borrowers with a second lien will make two separate payments each month – one on the first lien and one on the second lien.

FAQ'S

- **What does my lender mean by "paper trail"?** A "paper trail" is copies of all paperwork necessary to prove a financial transaction: copies of all checks, deposit slips, loan paperwork, forms to liquidate assets, etc.
- **Why did I receive a Truth-In-Lending?** Truth-In-Lending are sent to all borrowers after a loan application has been made, regardless of whether they have a contract on a property. The Truth-In-Lending Act is a federal law requiring lenders to reveal all of the terms of a mortgage. The APR that appears on the Truth-In-Lending will be higher than the interest rate on your Real Estate Lien Note.
- **Will I get a copy of my appraisal?** The appraisal will be sent to the customer before closing.
- **What inspections are required by the lender?** The lender requires an appraisal on all transactions. A clear termite report is only required by FHA if the contract being signed calls for it. Otherwise, it is not required. If the appraiser recommends repairs or if repairs are mentioned in the contract, the lender will require that those repairs be done before closing. The appraiser will then perform a final inspection to assure that the repairs were completed. Appraisers seldom require repairs. If the termite report recommends treatment, treatment is required. We will need a receipt showing the name and amount of chemicals used.
- **Where do I go for closing?** Your closing will take place at the title company. The name and address will be given to you by your loan consultant and/or attorney when your loan is clear to close.
- **Where do I send my first mortgage payment?** Refer to your "First Payment Letter" in your closing documents to determine where to send your first mortgage payment. If you receive a statement from your new lender prior to the due date of your first payment, send your payment to the new lender.

Mortgage Dictionary

Adjustable–Rate Mortgage (ARM)
Mortgage in which the rate of interest is adjusted based on a standard rate index. Most ARM's have a cap on how much the rate may increase.

Amortization
The process through which the mortgage debt is altered, usually declining, as payments are made to the lender. "Negative amortization" occurs when monthly payments are too small to cover either the principal or interest reductions.

Annual Percentage Rate (APR)
The rate of interest to be paid on a loan projected life; sometimes referred to as the "true" rate of interest.

Appraisal
A professional evaluation of the value of a home or other piece of property. It is often required by the lender.

Balloon Mortgage
A real estate loan in which some portion of the debt will remain unpaid at the end of the term of the loan. A balloon will usually result in a single large payment due when the loan ends.

CAP
A limit on how much a mortgage interest rate may increase or decrease for an adjustable rate mortgage.

Conventional Mortgage
A home loan that follows a fixed rate.

Debt-To-Income Ratio (DTI)
A ratio used by lending institutions to determine whether a person is qualified for a mortgage. DTI is calculated by dividing the total amount of monthly debt—including credit cards and other loans—by the total gross monthly income.

Default
Failure to make mortgage payments over a specified period of time.

Mortgage Dictionary

Discount Points
A percentage of the mortgage amount paid to the lender to lower the interest rate on a loan. One point equals one percent of the mortgage.

Equity
The difference between the market value of a property and the amount still owed on the mortgage.

Escrow
Money and documents deposited into a trust account to be held by one party on behalf of another.
Often used by brokers to hold deposit funds before closing, and by lenders to hold money for taxes and insurance on a home.

FHA Loan
A loan insured by the Federal Housing Administration (FHA). FHA loans follow specific guidelines set by the agency.

Loan-To-Value Ratio (LTV)
The amount of the loan divided by the purchase price of the home. For a refinance, the loan amount is divided by the appraised value of the property.

Margin
A fixed number of percentage points added by the lender to the index in order to determine the interest rate for an adjustable-rate mortgage (ARM).

Mortgage Insurance (MI)
Insurance that protects the lender if the borrower defaults on the loan. Depending on the loan-to-value ratio, this insurance may be required by the lender.

Paper Trail
Copies of documents that verify financial transactions and provide documentation for the lender to support the borrower's loan qualification.

PITI
Stands for principal, interest, taxes, and insurance. These are the four components typically included in a mortgage payment and may be collected and held in escrow by the lender.

Mortgage Dictionary

Points
A fee charged by the lender, calculated as a percentage of the loan amount. One point equals one percent of the mortgage. Points may be used to increase the lender's yield or reduce the borrower's interest rate.

Prepayment Penalty
A fee charged to a borrower who pays off a mortgage before the loan term ends.

Pre-qualification
A process in which a potential homebuyer is evaluated by a lender to determine how much they may qualify to borrow before making an offer on a property. The lender provides an estimated loan amount based on preliminary financial information.

Principal
The original loan amount borrowed, not including interest.

Second Mortgage
An additional mortgage taken out on a property that already has a first mortgage. This loan typically has a shorter term and a higher interest rate than the primary mortgage.

Title Company
A company that conducts a title search to verify ownership history and ensures there are no outstanding claims on the property. Mortgage closings are typically conducted at a title company.

Truth in Lending Act
A federal law requiring lenders to clearly disclose all terms and costs associated with a mortgage, ensuring borrowers are fully informed.

VA (Veterans Affairs) Loan
A mortgage guaranteed by the U.S. Department of Veterans Affairs, designed for eligible veterans, active-duty service members, and certain military spouses. VA loans often offer favorable terms and require no down payment.

What to expect from this market

Navigating this market can be very complex at times. In your search for a home you mostly come across three different types of sellers. Each one will have different escrow timeframes, negotiation styles, pricing strategies, and timeframes for accepting your offer. Without knowing the different characteristics of the different types of sellers it can be very frustrating out there as a buyer.

Traditional Sales
These are sellers who have equity in their homes and are usually looking to close escrow in 30-45 days. When writing an offer on a traditional sale you will usually negotiate directly with the seller through their agent.

Short Sales
These are sellers who owe more than what they can sell their home for and therefore have to negotiate with their bank to receive a lesser amount. Typically the negotiation process with the bank can take 4-6 months to get an offer approved and the price is subject to change during this time. There is also a chance that the bank will reject the seller's request for a short sale and instead foreclose on it.

Foreclosures
These are the homes which have been foreclosed on and taken back by the bank also known as REO's (Real Estate Owned) or "bank owned". Like the traditional sale the bank will want to close escrow within 30 days upon accepting your offer. The banks are motivated to sell these homes quickly and will typically price them slightly below market value to get multiple offers and create a bidding war to drive the price up. Even though you may pay over the asking prices these can still be great values.

Will mortgage pre-approvals hurt my Credit Score

This is a very common myth buyers have regarding getting pre-approved. Getting pre-approved is 100% a benefit to you as the buyer because it will give you confidence to write offers and prevent any heartache down the road. In a competitive market like ours, a good agent and a smart seller will not even consider looking at a financed offer without a pre-approval letter.

Credit Bureau Scoring

- Credit bureaus use a subtle formula that they don't publicize how they crunch your credit history down into a single credit score. One of the things that can cost you points on your credit score is to have a bunch of inquiries coming in very close to each other. So, should you worry about what mortgage pre-approvals will do to your credit reports? Probably not.
- The "Ding" for one inquiry is very small.
- The most a single inquiry on your credit report will cost you is five points. Often, your score, which can range from 300 to 850, will suffer even less than that. Unless you are seeking a new mortgage and are right on the cusp between a good credit score and a fair credit score, five points shouldn't make any difference in your loan terms.

Making the Mortgage Process Easier

- All of the credit bureaus understand the complex timing of getting a mortgage. Therefore, they have instituted measures to avoid reflecting pre-approval inquiries on credit reports. For instance, if you are shopping around for the best rate, and several mortgage companies make credit inquiries about you within 45 days of each other, all of those inquiries will be bundled into a single event with a miniscule effect on your credit report. Your credit report also does not include any credit inquiries made within 30 days prior to your loan application.

- It is, therefore, nearly impossible that the mortgage process of pre-approval will cause enough damage to your credit score to hurt your mortgage terms, so don't worry if your real estate agent asks to see your letter of pre-approval. Getting pre-approved for the mortgage you want won't hurt you.

What to expect when writing an Offer

Here are some things to consider to ensure your offer gets accepted:

What type of Sale is it?

- Foreclosure, Short Sale, Traditional Sale
- Is it priced right for the market?
- What is the buyer activity?
- Are there offers on the home?
- What other homes are for sale in the neighborhood?
- What has sold recently in the area?
- How long has it been on the market?

What type of Sale is it?

- Are they price driven or are there other terms that are important to them such as a lease after sale?
- How long of an option period are they looking for?

Do you need concessions for closings costs?

- Closing costs such as title, escrow, and lender fees usually cost between 1-3% of the sales price.

Are there multiple offers on the property?

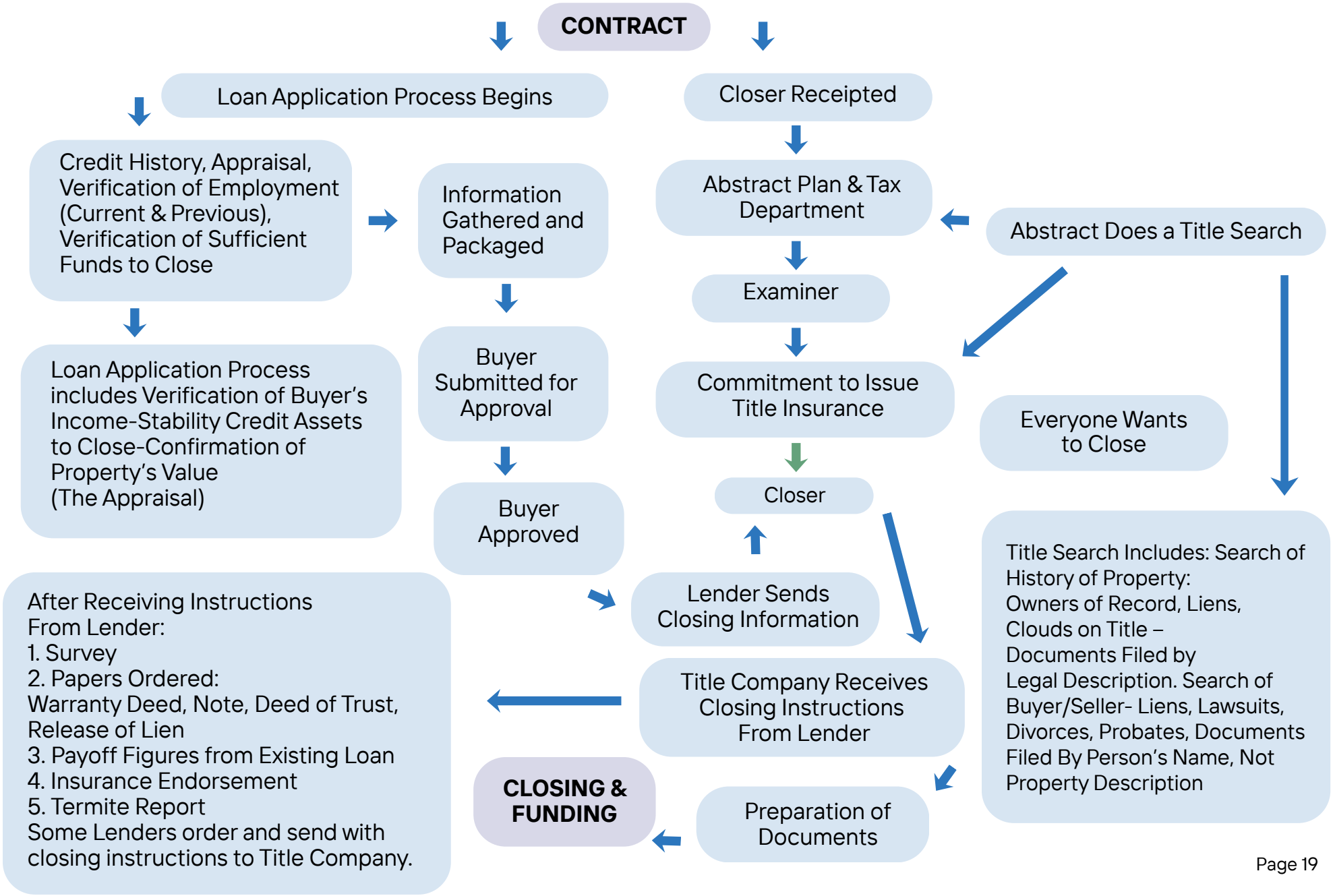
- This is not uncommon for homes priced right for the market and in great condition.
- Often times the seller will ask for your "highest & best" offer. In other words, what is the highest price you will offer that if another buyer offered more you would not have any regrets because you gave it your best shot?

10 Commandments for Home Buyers

1. Thou shall not change jobs or become self-employed during the loan process.
2. Thou shall not buy a car, truck, or van unless you want to end up living in it.
3. Thou shall not use your credit cards excessively or allow any payments to fall behind.
4. Thou shall not spend the money you have saved for your down payment.
5. Thou shall not buy furniture before you buy your home.
6. Thou shall not allow any new inquiries on your credit report.
7. Thou shall not make any large deposits into your bank account without proper documentation.
8. Thou shall not change bank accounts during the loan process.
9. Thou shall not co-sign a loan for anyone.
10. Thou shall not purchase anything significant until well after closing.

Your credit will be run again right before closing. Committing ANY of these acts can dramatically alter your credit score or debt-to-income ratios and can even block your chance of closing on your home purchase!

The Closing Process



Before You Spend a Dollar

Thinking about making an offer?

Need to make repairs?

Planning to renovate?

Wondering which updates are worth the investment?

Before you invest your time and money into a home, *let's talk.*

Not every repair or improvement is necessary. I'll help you understand what matters most, what to look for, and where it makes sense to invest—so you can make confident decisions that fit your needs, budget, and long-term plans.



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